

Hardware & Networking

Optical: Thoughts into C2Q26 EPS Prints & Updated Market TAM Forecast

In this report, we walk through our thoughts on the upcoming optical earnings prints, highlighting a positive setup for COHR, followed by LITE, while we expect the risk-reward to skew less attractive for FN, despite a positive view overall into calendar 2H26. We also review updated third-party estimates for the Optical Datacom and NPO/CPO market, along with takeaways from recent industry webinars. *Please see below for a detailed discussion of each topic:*

Thoughts into Upcoming C2Q26 Earnings Prints

Coherent (COHR): We see COHR as having the cleanest setup into the upcoming print, with revenue and margin expansion poised to improve through 2H on the confluence of product ramps. We expect TRx revenue to accelerate into 2H, with underlying margin improvement supported by the InP capacity ramp, alongside continued Telco/DCI momentum and an on-track ramp of the OCS and CPO opportunities. We also believe investors are underappreciating the industrial tailwinds, particularly given the improving demand environment flagged by most companies across our coverage, all of which supports not just stronger demand, but a better mix, into 2H. Taken together, we view the setup as relatively straightforward and constructive, with improving growth and mix likely to support a clean beat-and-raise, against a backdrop of shares trading at an undemanding valuation of 23x our CY28 EPS estimate.

Lumentum (LITE): The setup for LITE is more debated than COHR, though we believe the level of investor concern is overdone heading into the print. The key debates we hear center on: (1) higher (lower-margin) TRx revenue pressuring the near-term gross-margin trajectory; (2) longer-term risk from Chinese competitors adding InP supply; and (3) potential scale-up CPO delays. Importantly, we do not expect these concerns to meaningfully materialize in the upcoming print given: (1) while a faster Google TRx ramp could create some gross-margin headwind, we expect it to be offset by upside in higher-margin opportunities such as Telco/DCI and EML; and (2) we expect guidance for the scale-out CPO and OCS ramps into 2H to track in line with expectations, with little to no evidence of the medium- to longer-term risks tied to scale-up CPO and InP competition to be presented with risks likely be downplayed, alleviating investor concerns to a degree. Given cautious investor sentiment into the print, an undemanding valuation of 22x our CY28 EPS, and our expectation for a beat-and-raise, we see a positive setup into the print.

Fabrinet (FN): FN appears to be the trickiest print of the group, as the Jun-Q itself could be somewhat lackluster, with the company delivering a “typical” beat led by Telco/DCI, and likely limited evidence of a significant improvement in EML supply. Thus, the onus will therefore fall on the Sep-Q guide, with management needing to underscore an acceleration, particularly in TRx and HPC, to build confidence in the setup for both 2H and the trajectory into 2027. On that note, for the Sep-Q we expect improving EML capacity related to NVDA TRx to combine with the ramp in AWS TRx, along with the AWS Trainium/HPC business remaining on track to reach \$150mn (in line with prior guidance), which together

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could support a better-than-expected guide for F1Q27 (Sep-end). Beyond that, we expect incremental color on the ramp of the two new merchant TRx programs, as well as the OCS opportunity, to help drive upward revisions to 2H CY26 and 2027 estimates. Despite our positive bias, we see the risk-reward as less attractive than for COHR and LITE, as the reaction to the print is highly contingent on the Sep-Q guide, with the shares already trading at 23x our CY28 EPS, largely in line with COHR and LITE, and despite what we view as lower earnings upside.

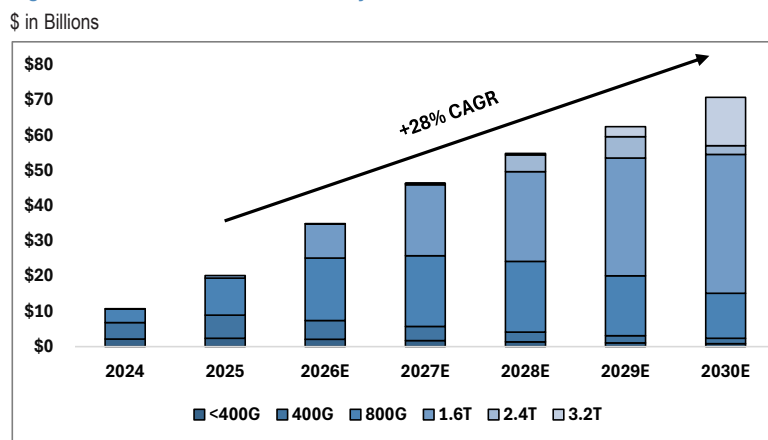
Takeaways from Recent Industry Webinars & Outlook Updates

Growth Outlook Revised Higher For Datacom

The datacom growth outlook remains robust, with the total market forecast once again revised upward and now expected to expand at nearly a +28% CAGR through 2030, driven by strong growth across 1.6T and higher data rates, while 800G is expected to peak in 2028 and decline through the rest of the forecast period. Upward revision relative to prior was driven largely by 1.6T, while the outlook for other data rates remains largely unchanged.

- **Datacom market is forecasted to expand at almost a +28% CAGR through 2030.** The latest outlook from LightCounting estimates that the datacom market will expand at a +28% CAGR from \$20 bn in 2025 to \$70 bn+ in 2030. From a data rate perspective, growth over the forecast period is being driven by 1.6T, which is expected to expand at ~120% CAGR to ~\$40 bn by 2030, followed by 3.2T, which is expected to expand from a minimal contribution till 2027 to ~\$14 bn in 2030. Separately, 800G is expected to expand through 2028 and moderate going forward as workloads shift to higher speeds.

Figure 1: Datacom Market Forecast by Data Rate

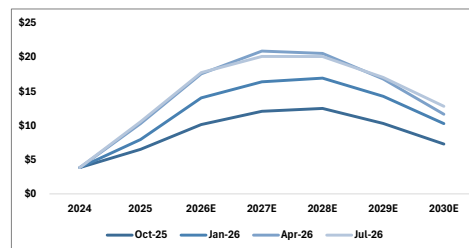


Source: LightCounting.

- **Latest outlook embeds a sizable upward revision across 1.6T, while most other segments of the markets tracked largely unchanged.** The latest outlook by LightCounting reflects an average upward revision of about 15% through the forecast period (average increase through 2030), driven primarily by an average increase of about 35% for 1.6T market forecast, while 800G and other markets were largely unchanged relative to prior.

Figure 2: 800G Datacom Market Forecast

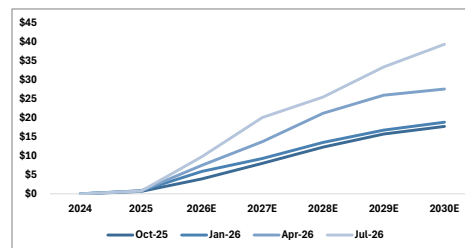
\$ in Billions



Source: LightCounting.

Figure 3: 1.6T Datacom Market Forecast

\$ in Billions



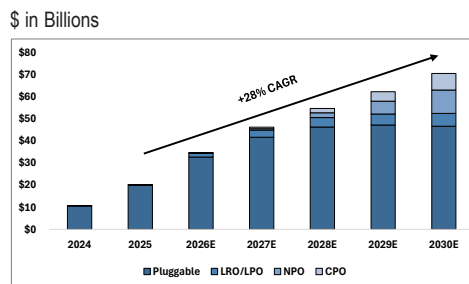
Source: LightCounting.

Significant Upward Revision to NPO/CPO Market Driven by Inclusion of NPO TAM

Datacom market growth through 2028 is forecasted to be driven mostly by Pluggable Transceivers, however, beyond 2028 market growth is driven almost entirely by NPO/CPO market. Updated industry forecasts highlight that NPO/CPO market is expected to expand at a robust pace reaching \$18 bn+ by 2030, with significant upward revision relative to prior driven by inclusion of NPO market TAM. Relative to actual applications, given modestly higher latency, NPO is forecasted to have a modestly lower traction across scale up applications relative to CPO. *Please see below for the latest outlook from industry analysts.*

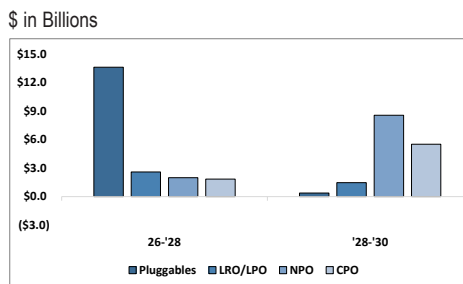
- The level of serviceability achieved drives a variety of architectures and muddled definitions for next-generation optics.** As the industry shifts towards co-packaged or near-packaged optics instead of pluggable transceivers, serviceability is one of the key focus from customers. In order to keep the laser (*which is highly sensitive to the temperature*) serviceable, it has to sit in a separate module (*External Laser Source- ELS*) that plugs into the faceplate - creating first layer of serviceability. Next layer of serviceability is potentially being added at the level of optical engine - which can either be directly packaged on the XPU substrate creating a **co-packaged optics (CPO)** solution, or can be treated as a pluggable standard form factor (*currently being worked out via Opex CPX MSA*) that can be purchased independent of the XPU, creating a more open **near-packaged optics (NPO)** solution. Separately, there could be **NPO** implementation with optical engine sitting closer to the XPU but on the PCB rather than XPU substrate.
- “Wide and slow” optics could gain relevance for scale-up networks.** Wide-and-slow optical approaches are attractive because AI scale-up does not always require the fastest lane speeds (*as done in current architectures by pushing vast amounts of data into same lane via SerDes*); it often benefits more from parallelism (*more number of slow lanes*), low latency, low power, and high reliability. Compared with narrow-and-fast approaches, wide-and-slow architectures can target lower power per bit, lower cost per Tbps, lower electro-optical latency, and better pre-FEC error performance. These attributes align closely with scale-up requirements, where predictable latency and energy efficiency can be as important as headline bandwidth. The approach also creates a pathway for optics to compete more directly with copper-like economics.
- Pluggable transceivers to dominate market growth through 2028, while more material TAM growth beyond 2028 is expected from NPO and CPO applications.** Looking across different technologies, near-term growth in the datacom market is expected to be dominated by pluggable transceivers, with a \$14 bn increase in the TAM from 2026 through 2028, relative to only a sub-\$3 bn increase each for LRO/LPO, NPO and CPO. However, from 2028 through 2030, NPO and CPO TAMs are expected to expand by \$9 bn and \$6 bn, respectively, followed by a relatively modest sub-\$2 bn increase in TAM for LRO/LPO and pluggable transceivers.

Figure 4: Datacom Market Forecast by Technology



Source: LightCounting.

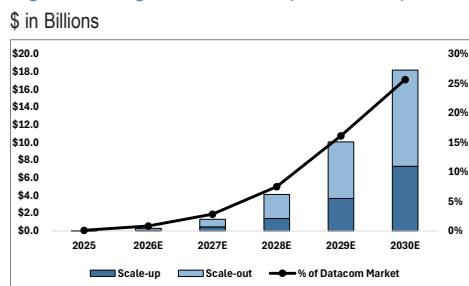
Figure 5: Market Growth Across Different Periods



Source: LightCounting.

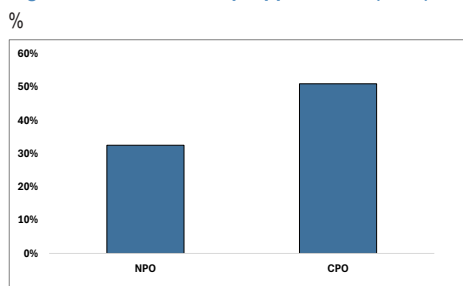
- **NPO and CPO market to become one-fourth of the datacom market by the end of the decade.** Overall, CPO & NPO market is expected to reach \$18 bn+ by the end of the decade and account for 25%+ of the total datacom market. Out of the \$18 bn+ NPO/CPO market, about 40% of the total deployments are forecasted to be linked with scale-up use cases. NPO implementations introduce additional latency because the signal has to travel over longer copper traces than in a co-packaged solution. As a result, LightCounting expects NPO to gain less traction in scale-up use cases: only 33% of NPO deployments by 2030 are forecasted to be scale-up related. In contrast, CPO deployments are expected to be more evenly split between scale-up and scale-out use cases.

Figure 6: Long-term Forecast (NPO + CPO) Market



Source: LightCounting.

Figure 7: Mix of Scale-up Applications (2030)

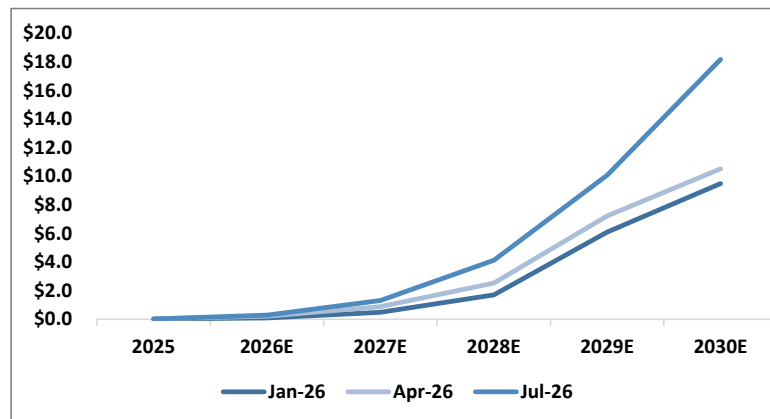


Source: LightCounting.

- **Upward revision to outlook is driven primarily by the inclusion of NPO.** The latest outlook for NPO/CPO by LightCounting reflects an average upward revision of over 50% through 2026 and beyond, relative to the prior update in April, driven mostly by the inclusion of NPO into the forecast.

Figure 8: Long-term CPO+NPO Forecast

\$ in Billions



Source: LightCounting.

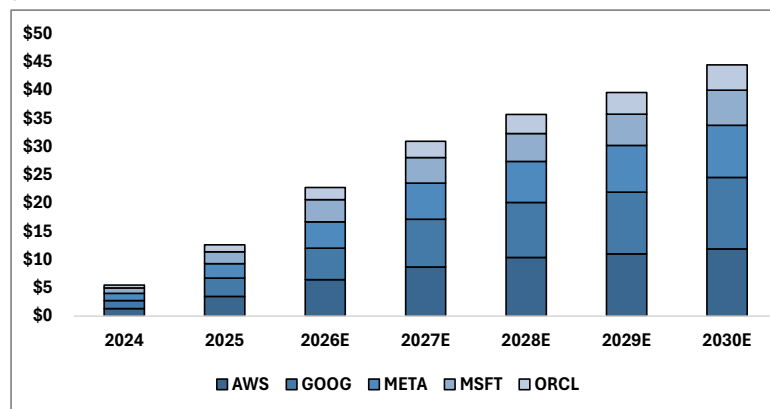
Google to be top datacom customer & Meta to lead NPO/CPO deployments by 2030

Datacom demand from U.S. cloud service providers is expected to grow at a robust double-digit rate through 2030, with growth across Google and Meta expected to outpace the group. Overall, Google is expected to become the top customer for datacom optics by 2030, while for the NPO/CPO deployments, Meta is expected to be the top customer. Lastly, Nvidia is expected to temporarily reclaim share of the datacom market in 2026, primarily driven by its outsized ramp of 1.6T, but moderate going forward as end-customers diversify compute environments.

- Google to become top customer for datacom market; Meta & Google to become top NPO/CPO customers.** The top five U.S. cloud service providers are expected to expand at a +29% CAGR through 2030, largely in-line with the total datacom market and accounting for 60%+ of the total market. Notably, Google and Meta are projected to outpace the growth among the top five U.S. cloud services providers, with Google expected to become the largest consumer of optics by 2030. Separately, Meta is expected to lead the market in terms of NPO/CPO deployments by 2030, followed by Google, Microsoft, Amazon and Oracle.

Figure 9: Datacom Market Forecast by Major Customer

\$ in Billions

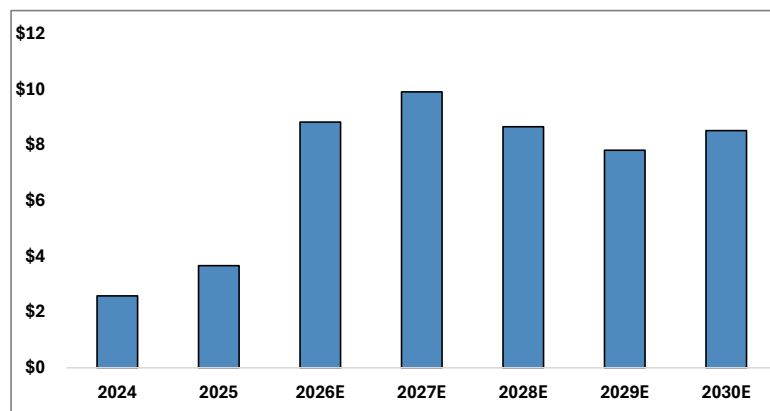


Source: LightCounting.

- Nvidia still projected to lose share longer-term; however, 2026 is expected to see a**

rebound due to dominant position in 1.6T. Longer-term expectations that Nvidia will lose share in the datacom market as cloud service providers increasingly source from third parties remain intact, with Nvidia's share forecasted to moderate from 18% in 2025 to 12% in 2030. However, in the near term, Nvidia is poised to buck this trend with the ramp of 1.6T solutions. For example, Nvidia's total share of the datacom market is expected to rebound to 25% in 2026, with the company accounting for 70%+ of the 1.6T market, which is projected to surge from less than \$1 bn in 2025 to \$10 bn in 2026.

Figure 10: Nvidia Datacom Market Forecast



Source: LightCounting.

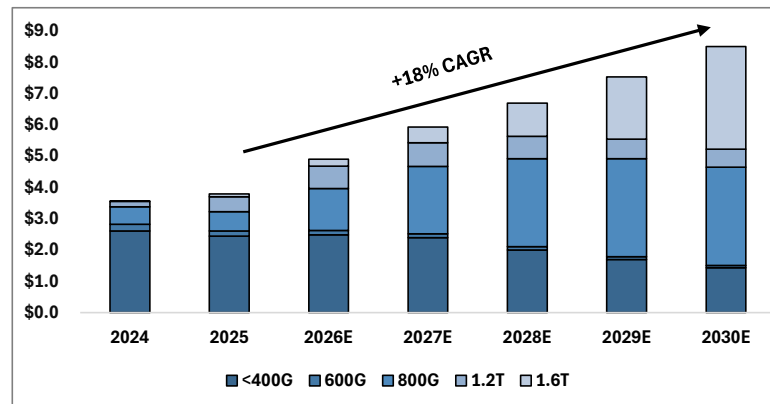
Telecom & DCI Growth Outlook Revised Modestly Higher

Telecom & DCI market growth outlook was increased modestly, with the total market now forecasted to expand at +18% CAGR through 2030, driven by 800G and higher data rates. Upward revision to the outlook relative to prior forecast was driven primarily by an increased outlook for high-speed optics (800G+) across ZR form factor.

- Telecom & DCI market is forecasted to expand at +18% CAGR through 2030.** The latest outlook from LightCounting estimates that the Telecom & DCI market (CWDM and DWDM) will expand at a +18% CAGR from \$4 bn in 2025 to \$9 bn in 2030. From a data rate perspective, growth over the forecast period is being driven by 1.6T ramping up at over 100% CAGR reaching \$3 bn+ by 2030, followed by 800G growing at ~40% CAGR to ~\$3 bn over the same period.

Figure 11: Telecom & DCI Market Outlook

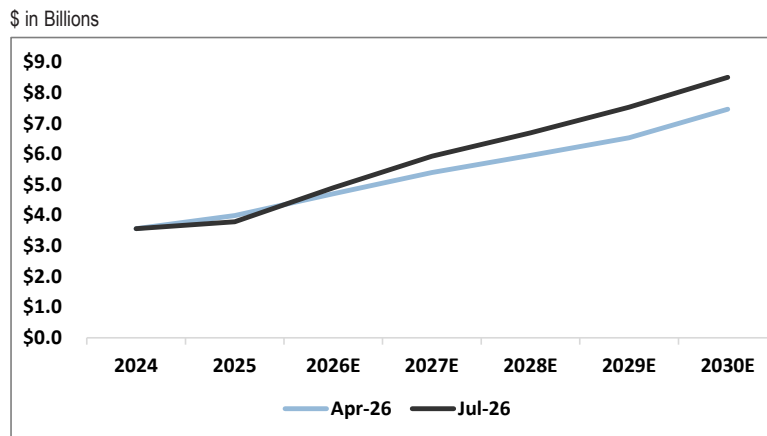
\$ in Billions



Source: LightCounting.

- **Latest outlook embeds a modest upward revision driven by 800G+ ZR/ZR+.** The latest outlook by LightCounting reflects an average upward revision of +11% since the last forecast in April, driven primarily by an increased outlook for high-speed optics (800G+) across ZR form factor.

Figure 12: Telecom & DCI Market Outlook



Source: LightCounting.

Companies Discussed in This Report (all prices in this report as of market close on 05 August 2026, unless otherwise indicated)
Coherent Corp(COHR/\$328.22/OW), Fabrinet(FN/\$522.22/N), Lumentum(LITE/\$826.26/OW)

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Coherent Corp (COHR, COHR US) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Jul 29, 2019. All share prices are as of market close on the previous business day.

Date	Rating	Price (\$)	Price Target (\$)
06-Feb-24	OW	49.42	70
07-May-24	OW	57.92	75
12-Aug-24	OW	63.34	85
04-Nov-24	OW	92.28	105
16-Jan-25	OW	96.45	110
05-Feb-25	OW	87.74	120
17-Apr-25	OW	55.45	80
08-May-25	OW	69.62	86
12-Jun-25	OW	81.51	100
17-Jul-25	OW	97.82	127
06-Nov-25	OW	134.63	180
05-Dec-25	OW	177.35	215
04-Feb-26	OW	229.18	245
09-Apr-26	OW	281.79	300
07-May-26	OW	344.67	380
16-Jul-26	OW	299.38	435

Fabrinet (FN, FN US) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Jun 09, 2011. All share prices are as of market close on the previous business day.

Date	Rating	Price (\$)	Price Target (\$)
21-Aug-23	OW	117.85	174
06-Nov-23	OW	162.52	185
08-Jan-24	N	184.29	210
11-Apr-24	N	176.85	212
06-May-24	N	179.22	230
12-Aug-24	N	208.34	240
19-Aug-24	N	231.08	285
16-Jan-25	N	233.74	275
03-Feb-25	N	216.21	265
17-Apr-25	N	186.70	220
05-May-25	N	218.26	235
17-Jul-25	N	297.45	318
25-Aug-25	OW	294.35	345
16-Oct-25	OW	398.34	430
03-Nov-25	OW	440.57	530
16-Apr-26	N	685.81	700
04-May-26	N	706.53	680

Lumentum (LITE, LITE US) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Aug 06, 2015. All share prices are as of market close on the previous business day.

Date	Rating	Price (\$)	Price Target (\$)
17-Aug-23	OW	46.81	57
08-Jan-24	OW	50.47	63
08-Feb-24	OW	58.77	62
11-Apr-24	OW	45.34	57
12-Aug-24	OW	43.25	65
04-Nov-24	OW	65.35	76
08-Nov-24	OW	73.64	90
16-Jan-25	OW	88.40	100
06-Feb-25	OW	89.19	105
17-Apr-25	OW	52.21	73
07-May-25	OW	64.42	82
05-Jun-25	OW	80.28	87
12-Jun-25	OW	82.36	100
17-Jul-25	OW	99.63	123
13-Aug-25	OW	119.66	145
16-Oct-25	OW	156.57	185
05-Nov-25	OW	188.36	235
05-Dec-25	OW	327.85	350
04-Feb-26	OW	435.10	565
09-Apr-26	OW	896.02	950
06-May-26	OW	994.56	1,130
16-Jul-26	OW	752.00	1,165

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Completed 06 Aug 2026 04:22 AM EDT

Disseminated 06 Aug 2026 06:00 AM EDT